Balance of Payments and the International Investment Position

1MT495 Current Issues in Applied International Economics

Martin Časta

Prague University of Economics and Business

November 8, 2026

Course Logistics

- **Lectures:** room NB 177B, 2:30–5:45 p.m.
- **Midterm test:** 2 December 2026, starting at 2:30 p.m., room NB 177B.
- **Seminar paper:** due 15 January 2027; approximately 3–4 A4 pages; up to 20 points. Details in INSIS.
- **Final examination:** during the examination period (dates in INSIS); four open-ended questions covering the entire course, 90 minutes, up to 50 points.

Takeaway: The course assesses your ability to explain the mechanisms and apply them, not just recall terminology.

How We Will Study International Economics

- **Goal:** compare the main approaches in international economics and learn when each is useful.
- **Mathematics:** equations are a short route to economic intuition. Understand what they mean; long algebraic derivations are not required for the exams.
- **Sources:** material builds on published research, textbooks and other lecturers' notes, acknowledged at the end of each lecture.

Takeaway: Today is accounting: identities that must hold. They say what adds up, not why agents make their decisions; the models come next.

Outline

1. Why the Balance of Payments?
2. Definition and Structure
3. Double Entry and the BoP Identity
4. The BoP and the National Accounts
5. BoP Analysis and External Balance
6. The International Investment Position
7. Exercise: BoP and IIP Accounting
8. Conclusions

What You Should Be Able to Do After Today

1. Explain what the balance of payments (BoP) records and who is a *resident*
2. Name the accounts – current, capital, financial – and their main items
3. **Record any transaction twice** (double entry) and check the identity $CA + KA + NEO = FA$
4. Show that the current account equals saving minus investment, $CA = S - I$
5. Explain how the international investment position (IIP) – a stock – is linked to the BoP – a flow – and why valuation changes matter
6. Read the EU's external imbalance indicators (current account and NIIP thresholds)

Do not memorise every item and sub-item: understand the logic of the double entry, and the items follow.

The Czech Republic: A Small Open Economy

- "A small, **open economy**, heavily dependent on foreign trade" (Ministry of Industry and Trade)
- "As a **small open economy**, Czech growth is highly dependent on export growth, especially to Germany and the euro area" (IMF)
- Openness cuts both ways: an advantage when the world economy is thriving, a disadvantage when foreign demand falls (Czech Statistical Office)

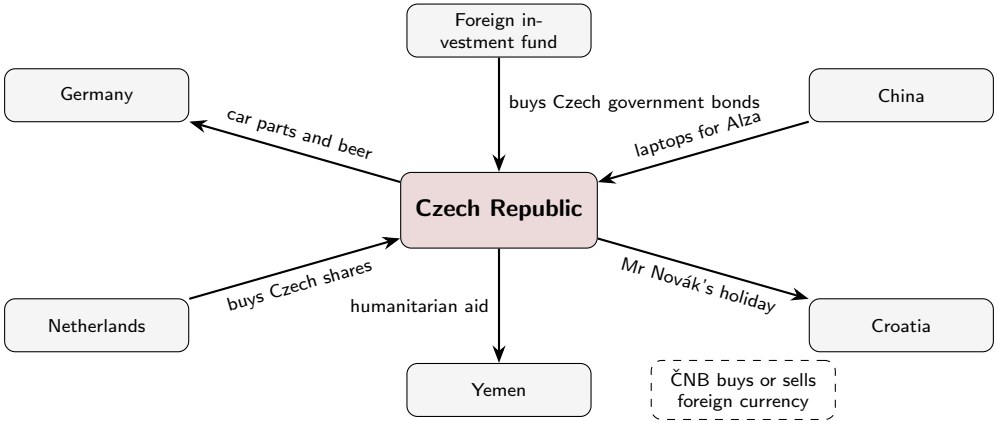
In numbers

- Exports of goods and services: **68.9% of GDP** (2024)
- Current account: $+0.7\%$ of GDP (2025)
- Net international investment position: -9.8% of GDP (end-2025)

How do we keep track of all the transactions behind these numbers – and what do the balances tell us?
The balance of payments.

Source: Eurostat (tet00003); ČNB, Zpráva o vývoji platební bilance 2025 (June 2026); Eurostat.

What Does an "Open Economy" Mean?



Question: each arrow is a transaction between a Czech resident and a non-resident. Where is each one recorded – and what is recorded on the other side? (Answers in section 2.)

What We Already Know: GDP and Net Exports

GDP can be measured in three ways:

- **Production:** gross value added plus net taxes on products
- **Income:** the incomes of the factors of production
- **Expenditure:** final use of domestic production

$$GDP = C + I + G + NX, \qquad NX = EX - IM$$

C household (and non-profit) final consumption; I gross capital formation, private and public; G government final consumption; NX net exports of goods and services.

Takeaway: Net exports enter the current account together with primary and secondary income; a country can export more than it imports and still run a current account deficit.

The Balance of Payments: Definition

Definition (IMF)

A statistical statement of **economic transactions between residents and non-residents** during a period (a quarter or a year).

- **Double entry:** each transaction has offsetting entries, so the accounts balance once net errors and omissions are included.
- **Flow versus stock:** the BoP covers transactions during a period; the international investment position (IIP) reports outstanding external assets and liabilities at a date.
- **Statistical framework:** we use BPM6, the basis of the current Czech and EU BoP series. The IMF published BPM7 in 2025, with widespread implementation planned for 2029–30.

Who is a resident?

Residence is *not* nationality. It depends on the centre of predominant economic interest, usually assessed over a year or more. Škoda Auto is a Czech resident despite foreign ownership; a Czech national who moves to work and live in Germany for two years is generally resident in Germany.

Source: IMF, BPM6 (2009), BPM7 release and implementation guidance (2025).

The Structure of the Balance of Payments

Current account (CA)

- Goods
- Services
- Primary income
- Secondary income

Capital account (KA)

- Capital transfers
- Non-produced, non-financial assets

Financial account (FA)

- Direct investment
- Portfolio investment
- Financial derivatives
- Other investment
- **Reserve assets**

Net errors and omissions (NEO)

- Statistical balancing item

$$\boxed{CA + KA + NEO = FA}$$

Takeaway: Reserve assets are **part of the financial account**, not an additional account. Under BPM6, FA is financial assets acquired minus liabilities incurred.

The Current Account

- **Goods** (the trade balance): exports and imports of goods
- **Services:** transport, travel, ICT, financial and business services
- **Primary income:** income for the use of labour and capital across borders – *payments and receipts*[1]
  - compensation of employees (cross-border and short-term workers)
  - investment income: dividends, reinvested earnings, interest – large for the Czech Republic, where foreign-owned firms pay out their profits
- **Secondary income:** current *transfers*[2]
  - personal transfers, e.g. remittances[3]
  - other current transfers: taxes, social contributions and benefits, current payments to and from the EU budget

[1] Something in return (*quid pro quo*). [2] Nothing in return: "I send something and want nothing directly back." [3] Money sent home by migrants – a large source of income for many developing countries.

The Capital Account and Net Errors and Omissions

Capital account

- **Capital transfers:** debt forgiveness and transfers earmarked for capital formation, including certain EU investment grants.
- **Non-produced non-financial assets:** e.g. transfers of ownership of some intellectual-property rights and certain licences.

Not all EU funds are capital transfers: current grants enter secondary income.

Net errors and omissions (NEO)

- The **statistical residual**: CA, KA and FA are compiled using different data sources and reporting periods.
- Covers mismeasurement, incomplete coverage and timing differences.
- Large NEO warrants investigation, but by itself is **not evidence** of capital flight.

Takeaway: The statistical identity closes by construction. Individual reported items may still contain measurement error.

The Financial Account

Records residents' acquisitions of **foreign financial assets** and the incurrence of **liabilities to non-residents**:

- **Direct investment:** a lasting interest, conventionally at least 10% of *voting power*; equity, reinvested earnings and qualifying intercompany debt.
- **Portfolio investment:** other equity and tradable debt securities (bonds, notes).
- **Financial derivatives:** forwards, swaps, futures and options.
- **Other investment:** cross-border loans, deposits, trade credits and currency, whether short or long term.
- **Reserve assets:** foreign assets under monetary authorities' control, including foreign exchange, monetary gold and SDRs; recorded on the *asset* side of FA.

Takeaway: For financial risk, the maturity, currency, liquidity and instrument matter more than the label alone: short-term wholesale debt is often riskier than equity financing.

Recording Rules

Current and capital accounts

Credits (+): exports, income received, transfers received. **Debits (−):** imports, income paid, transfers paid. **Balance** = credits minus debits.

Financial account (BPM6)

Assets (A): acquisition +, disposal −. **Liabilities (L):** incurrence +, repayment −. **Balance** $FA = \Delta A_{\text{tr}} - \Delta L_{\text{tr}}$.

Why the signs seem different

Credit/debit are *transaction sides* in the current and capital accounts; financial-account tables conventionally display asset and liability changes as positive when they increase. The FA balance then subtracts liabilities.

Takeaway: An *import debit* is recorded with a positive magnitude in the debit column, but contributes negatively to the CA balance. An *increase in liabilities* enters FA with a negative sign.

BoP Structure (BPM6)

Current account	Credit [+]	Debit [-]
Goods	Export	Import
Services	Export	Import
Primary income	Import (Income,inflow)	Export (Expenditures, outflow)
Secondary income	Import (Income, inflow)	Export (Expenditures, outflow)

Capital account	Credit [+] Import (Income, inflow)	Debit [-] Export (Expenditures, outflow)

Financial account	Foreign ASSETS movements	Foreign LIABILITIES movements
Direct investments	Rise [+], decline [-]	Rise [+], decline [-]
Portfolio investments	Rise [+], decline [-]	Rise [+], decline [-]
Financial derivatives	Rise [+], decline [-]	Rise [+], decline [-]
Other investments	Rise [+], decline [-]	Rise [+], decline [-]
Reserve assets	Rise [+], decline [-]	----------

Errors and omissions	Credit [+]	Debit [-]

Back to Our Transactions

Transaction	First entry	Illustrative offsetting entry
Alza imports laptops from China	Goods: debit	Other investment assets ↓ (bank's foreign deposit)
Mr Novák holidays in Croatia	Services (travel): debit	Other investment assets ↓
Car parts and beer exported to Germany	Goods: credit	Other investment assets ↑ (foreign bank deposit)
Dutch investor buys Czech company shares	Direct ($\geq 10\%$ voting rights) or portfolio liabilities ↑	Other investment assets ↑ (seller receives foreign deposit)
Foreign fund buys Czech government bonds	Portfolio investment liabilities ↑	Foreign assets ↑ (payment received)
Humanitarian aid to Yemen	Secondary income: debit	External assets ↓ (cash); goods credit also if aid in kind
ČNB buys euros from a Czech bank	Reserve assets ↑	Other investment assets ↓ (bank transfers euros)

Settlement matters: these are specified illustrations, not unique entries for every import or investment. A payment may instead change an external liability.

Plzeňský Prazdroj is owned by Japan's Asahi: its beer exports are goods credits, while dividends to Asahi are **primary income debits**.

The Balance of Payments Identity

BPM6 sign convention

$$CA + KA + NEO = FA, \qquad FA = \underbrace{\text{net financial assets acquired}}_{A} - \underbrace{\text{net liabilities incurred}}_{L}.$$

- $FA > 0$: **net lending abroad** – net asset acquisitions exceed liability incurrence.
- $FA < 0$: **net borrowing abroad** – net liability incurrence exceeds asset acquisitions.

Three types of transactions:

1. **Current + financial:** an export paid into a foreign bank account – goods credit and other investment assets ↑.
2. **Financial + financial:** a purchase of foreign shares paid from a foreign deposit – one external asset up, another down.
3. **Current + current:** humanitarian aid in kind – goods credit (export) and secondary income debit (transfer).

Takeaway: Net financial inflows and outflows must be distinguished from *gross* cross-border transactions, which may be much larger than the CA.

Where, Which Side, Which Sign? A Checklist

1. **Identify the transaction.** Trade in goods → goods; travel spending → services; dividends → primary income; gifts → secondary income.
2. **Choose the account.** A claim on a non-resident is an external asset; a claim held by a non-resident on a resident is an external liability.
3. **Record its direction.** Current/capital accounts: credits for receipts, debits for payments. Financial account: acquisitions of assets $+$, disposals $-$; incurrence of liabilities $+$, repayment $-$.
4. **Form balances.** $CA, KA =$ credits minus debits; $FA =$ assets acquired minus liabilities incurred.
5. **Check.** $CA + KA + NEO = FA$; for a complete hypothetical example with no statistical discrepancy, $NEO = 0$.

Takeaway: Always specify *how a payment is settled*. The same trade transaction can be offset by an asset change or a liability change.

From GDP to Disposable Income

$$GDP = C + I + G + NX$$

- **Gross national income:** add the balance on primary income (BPI) – income earned abroad by residents minus income paid to non-residents

$$GNI = GDP + BPI$$

- **Gross national disposable income:** add the balance on secondary income (BSI)

$$GNDI = GNI + BSI$$

Czech example: with net investment income of about -4.6% of GDP (2025), mostly profits of foreign-owned firms, Czech GNI is several per cent smaller than GDP.

Source: ČNB, Zpráva o vývoji platební bilance 2025.

The Current Account Equals Saving Minus Investment

Disposable income is either consumed or saved (S = gross national saving):

$$GNDI = C + G + S$$

The current account:

$$CA = NX + BPI + BSI$$

Substitute $GNDI = GDP + BPI + BSI$:

$$\begin{aligned} C + G + S &= (C + I + G + NX) + BPI + BSI \\ S - I &= NX + BPI + BSI \\ \Rightarrow \quad CA &= S - I \end{aligned}$$

- A deficit means the country **invests more than it saves**; the gap is financed from abroad
- The same identity, read with the BoP: $S - I = CA = FA - KA - NEO$

Takeaway: The current account is a macroeconomic balance of saving and investment, not only a trade statistic.

The Sectoral View of the Current Account

Split saving and investment into private (P) and government (G):

$$CA = (S_P - I_P) + (S_G - I_G)$$

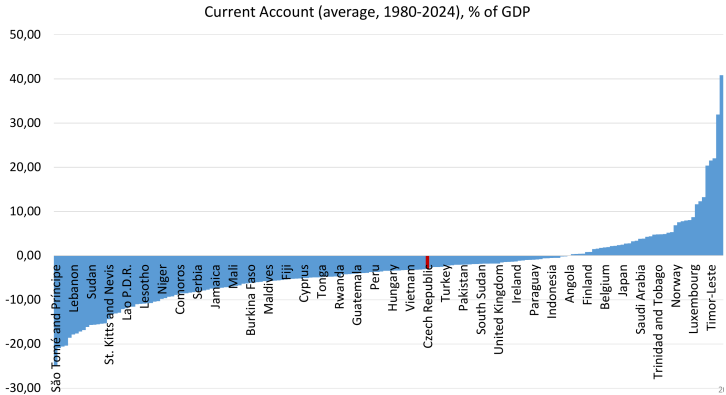
S_P, I_P: saving and investment of households and firms; $S_G - I_G$: approximately the government budget balance.

- A government deficit can coexist with a **private surplus** (private saving exceeds investment) ...
- ... or by **foreign saving**, i.e. a current account deficit: the "twin deficits"

Warning

An identity has no causal arrow. It does not say whether the budget deficit caused the current account deficit or the private sector adjusted; that needs a model.

Current Account Balances Around the World, 1980–2024



Takeaway: Most countries ran deficits on average (a simple country average; GDP-weighted, world balances sum to about zero). Large persistent surpluses belong to oil exporters and financial centres; the Czech Republic (red) ran a moderate average deficit.

Source: IMF, World Economic Outlook database; averages over available years; chart by O. Šíma.

Is the Balance of Payments Useful?

- **Who uses it?** Central banks, ministries, investors, rating agencies, the IMF and the European Commission.
- **Macro link:** trade and income flows affect demand, growth and the external financing requirement.
- **Crisis analysis:** large deficits funded by short-term debt can amplify sudden stops (Asia 1997; euro periphery 2010–12).
- **Foreign-exchange markets:** capital-flow and trade shocks influence exchange rates, but the sign and size depend on expectations, monetary policy and other adjustments.
- **Competitiveness:** a declining trade surplus could mean weaker export performance *or* stronger domestic investment and demand.

Takeaway: A surplus is not automatically healthy, and a deficit is not automatically dangerous. Ask *what it finances* and *how the associated gross positions are funded*.

The EU Macroeconomic Imbalance Procedure: External Indicators

The European Commission screens members annually through the Macroeconomic Imbalance Procedure (MIP). Selected **2026 Alert Mechanism Report** thresholds:

Indicator	**Indicative threshold**
Current account, 3-year average (% of GDP)	-4% and $+6\%$
Net international investment position (% of GDP)	-35%
Real effective exchange rate, 3-year change	$\pm 3\%$ (euro area), $\pm 10\%$ (others)
Export performance against advanced economies, 3-year change	-3%
Nominal unit labour costs, 3-year change	$+9\%$ (euro area), $+12\%$ (others)

Takeaway: These are *screening signals*, not mechanical crisis thresholds. Large surpluses can be flagged alongside deficits.

Source: Eurostat, MIP statistical annex for the 2026 Alert Mechanism Report; figures for the next slide are 2021 observations.

The MIP Scoreboard: An Example (2021 Data)

Macroeconomic Imbalance Procedure (MIP): Scoreboard 2021

Year/2021	External imbalances and competitiveness: Current account balance - % of GDP (3 year average)	External imbalances and competitiveness: Net international investment position (% of GDP)	External imbalances and competitiveness: Real effective exchange rate - 42 trading partners, HICP deflator (3 year % change)	External imbalances and competitiveness: Export market share - % of world exports (5 year % change)	External imbalances and competitiveness: Nominal unit labour cost index (2010=100) (3 year % change)	Internal imbalances: House price index (2015=100), deflated (1 year % change)	Internal imbalances: Private sector credit flow, consolidated (% of GDP)	Internal imbalances: Private sector debt, consolidated (% of GDP)	Internal imbalances: General government gross debt (% of GDP)	Employment indicators[1]: Unemployment rate (3 year average)	Employment indicators[1]: Total financial sector liabilities, non-consolidated (1 year % change)	Employment indicators[1]: Activity rate - % of total population aged 15-64 (3 year change in pp)	Employment indicators[1]: Long-term unemployment rate - % of active population aged 15-74 (3 year change in pp)	Employment indicators[1]: Youth unemployment rate - % of active population aged 15-24 (3 year change in pp)
Thresholds	-4%/+6%	-35%	±5% (EA); ±11% (Non-EA)	-6%	9% (EA) 12% (Non-EA)	6%	14%	133%	60%	10%	16.5%	-0.2 pp	0.5 pp	2 pp
BE	0.5	59.9	0.6	2.4	5.4p	4.5	3.8p	169.0p	109.2	5.9	7.5	1.1	0.0	2.2
BG	0.5	-18.4	3.8	12.2	16.4	2.5p	4.4	84.4	23.9	5.5	9.5	0.6	-1.0	-0.1
CZ	0.5	-15.6	5.0	-1.1	13.9	16.4	2.9	78.8	42.0	2.5	7.9	0.0	0.1	1.5
DK	8.5	77.0	-1.1	6.5	6.1	9.5	12.3	214.7	36.6	5.2	11.7	1.4	0.0	0.3
DE	7.3	70.7	0.5	-5.9	7.4p	8.2p	5.7p	120.4p	68.6	3.4p	7.2	1.2	-0.2	0.3
EE	-0.1	-13.0	1.9	17.8	10.7	10.4	6.5	95.3	17.6	5.9	17.5	-0.2	0.3	4.7
IE	-4.2	-145.5	-2.6	39.9	-7.9	4.2	2.6p	168.1p	55.4	5.7	18.8p	1.8	-0.3	0.7
EL	-5.0	-171.9	-3.1	9.6	4.0p	6.4e	-0.1p	120.7p	194.5	16.7	14.3	-0.8	-3.3	-5.7
ES	1.2	-71.5	-0.5	-10.5	12.3p	1.5	2.5p	179.1p	118.3	14.8d	6.6	0.6d	-0.2d	0.5d
FR	-0.3	-32.1	-0.4	-11.4	4.6p	4.7	6.5p	167.8p	112.8	8.1d	7.3p	0.2d	-0.2d	-3.1d
HR	1.8	-35.1	-1.5	7.9	6.4p	4.5	3.0p	88.5p	78.4	7.2	11.7	2.4	-0.6	-1.8
IT	3.4	8.1	1.8	-6.2	4.6	0.9	3.3	113.5	150.3	9.6	6.2	-1.1	-1.1	-2.5
CY	-7.5	-117.8	-2.4	24.9	4.1p	-4.3	4.3p	248.4p	101.0	7.4	-0.8	1.7	-0.1	-3.1
LV	-0.7	-27.4	2.3	13.4	14.5	7.3	0.9	58.0	43.6	7.3	13.2	-1.8	-1.1	2.6
LT	4.0	-7.4	4.4	37.9	19.2	11.0	5.9	53.9	43.7	7.3	25.2	0.9	0.6	3.2
LU	4.2	30.6	0.6	13.1	11.2p	12.4	53.9p	340.6p	24.5	5.9	11.4	2.1	0.4	2.7
HU	-1.9	-53.1	-4.1	0.0	12.4p	10.0p	12.7p	80.5p	76.8	3.8	16.4	2.1	-0.1	3.6
MT	-0.8	52.8	-1.2	-0.9	12.9	3.8p	8.4	131.8	56.3	3.8	7.7	3.5	0.9	0.3
NL	6.4	93.0	2.2	1.1	11.2p	11.2p	11.7p	229.3p	52.4	4.5	-0.3p	1.0	-0.4	0.4
AT	1.9	14.7	1.2	-2.7	9.9	9.9	7.4	129.7	82.3	5.7	8.0	0.1	0.3	1.0
PL	0.3	-39.5	-0.4	24.9	9.9b	3.7	4.0	71.6	53.8	3.3	13.6	3.4	-0.1	0.1
PT	-0.6	-94.7	-2.8	-5.3	12.5p	7.9	4.0p	156.9p	125.5	6.8	7.1	0.7	-0.3	3.1
RO	-5.7	-47.2	1.0	10.6	14.4p	-1.1	3.8p	48.1p	48.9	5.5	14.3	3.2	-0.2	0.5
SI	5.8	-6.8	-0.4	11.6	12.8	7.8	3.5	66.4	74.5	4.7	14.1	0.6	-0.3	3.9
SK	-1.8	-61.0	3.1	-2.9	14.1	3.0	5.5	95.0	62.2	6.4	24.0	0.2	-0.8	4.8
FI	0.3	-1.4	-0.7	4.9	6.0	2.8	6.1	150.1	72.4	7.4	9.4	1.8	-0.2	-0.2
SE	5.6	21.2	2.1	-1.0	5.5	8.1	16.6	215.2	36.3	8.1	10.9	0.6b	0.2	7.9

Figures highlighted are the ones at or beyond the threshold. Flags:b Break in series. d:Definition differs. e:Estimated. p:Provisional.

1) For employment indicators, see page 2 of the AMR 2016. 2) House price index e = estimate by NCB for EL. 3) Employment indicators. d = Spain and France have assessed the attachment to the job and included in employment those who had an unknown duration of absence from work, but are expected to return to the same job once COVID-19 health measures allow it.

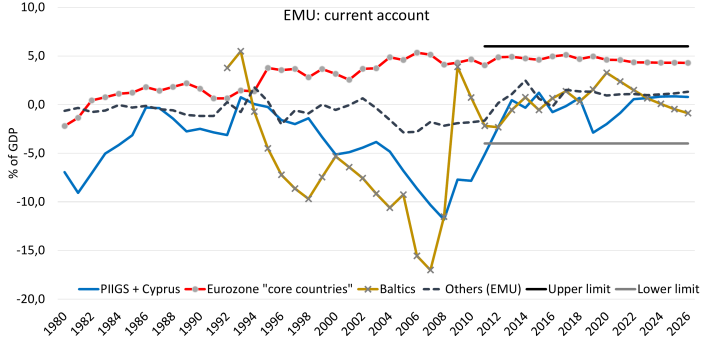
Source: European Commission, Eurostat and Directorate General for Economic and Financial Affairs (for Real Effective Exchange Rate), and International Monetary Fund data, WIEO (for world volume exports of goods and services)

eurostat

Takeaway: Historical 2021 scoreboard: shaded cells mark threshold breaches under the definitions then in use. Czechia breached the unit-labour-cost and house-price thresholds, not the CA or NIIP thresholds.

Source: European Commission and Eurostat, MIP scoreboard 2021 (Alert Mechanism Report 2023).

Euro Area Current Accounts, 1980–2026

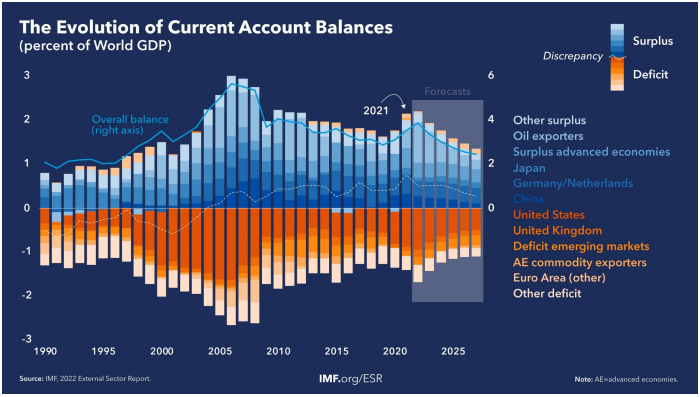


PIIGS = Portugal, Ireland, Italy, Greece, Spain; *Euro area „core"* = Austria, Germany, Belgium, the Netherlands, Luxembourg; *Baltic* = Lithuania, Latvia, Estonia; Others = Finland, Slovakia, Slovenia, Malta, France

Takeaway: Before 2008 the periphery and the Baltics ran deficits far beyond today's -4% threshold (the Baltics about -17% of GDP in 2007); the core has run surpluses of 4–5% since the mid-2000s. The deficits closed abruptly after 2008.

Source: IMF, World Economic Outlook database (latest years are projections); chart by O. Šíma. Threshold lines from 2011, when the MIP started.

Global Imbalances



Takeaway: The sum of all surpluses and deficits (blue line) peaked before 2008 at nearly 6% of world GDP and roughly halved afterwards; China, Germany and the Netherlands dominate the surpluses, the United States the deficits.

Source: IMF, External Sector Report 2022.

Current Issue: Can Tariffs Close a Current Account Deficit?

The facts and the question

- US current account deficit: about $1.12 trillion in 2025, or 3.6% of GDP.
- Global imbalances widened in 2024–25; China remained a major net lender and the US a major net borrower.
- A tariff can reduce some imports. Does that necessarily reduce the *overall* current account deficit?

The accounting and adjustment

- $CA = S - I$: any change in the overall deficit must coincide with a change in national saving relative to investment.
- Exchange-rate changes, lower exports, trade diversion and changes in saving/investment can offset a decline in targeted imports.
- A *bilateral* deficit can move even if the overall CA hardly changes.

Takeaway: Trade policy affects whom a country trades with and can affect its *overall* CA through macroeconomic adjustment; the identity alone does not predict the sign.

Source: BEA, U.S. international transactions, 2025; IMF, External Sector Reports 2025–26.

The International Investment Position: A Stock

- The **international investment position (IIP)** is the economy's external balance sheet *at a date*; the BoP records flows during a period.
- **Assets:** residents' claims on non-residents, plus reserve assets such as monetary gold.
- **Liabilities:** claims that non-residents hold on residents, including equity ownership.

$$NIIP = \text{external assets} - \text{external liabilities}$$

External debt is narrower than external liabilities

Gross external debt covers outstanding liabilities that require future payment of principal and/or interest: bonds, loans, deposits and debt trade credit, *not* equity. Net external debt subtracts debt-instrument assets. Derivatives are generally outside gross external debt.

Takeaway: A negative NIIP means net external liabilities exceed external assets; it need not mean an immediate liquidity or solvency problem.

The NIIP in the National Balance Sheet

Balance sheet of a sector

Assets	Liabilities and net worth
Real assets (land, machinery, inventories)	Liabilities to residents
Claims on residents (equity, other)	Liabilities to non-residents
Claims on non-residents, SDRs, monetary gold	Net worth

Consolidated balance sheet of the economy

Assets	Liabilities and net worth
Real assets	Liabilities to non-residents (debt and equity)
Claims on non-residents, SDRs, monetary gold	Net worth

- Consolidating all sectors cancels claims among residents: what one resident owes another is the other's asset
- What is left: **national net worth = real assets + NIIP**

Takeaway: Domestic assets and liabilities cancel on consolidation. National net worth equals domestic nonfinancial assets plus NIIP; a negative NIIP alone does not mean a country is "poor".

Source: IMF (1996), Balance of Payments Textbook, Illustrations 13.1 and 13.2 (simplified).

The Structure of the IIP

	Assets	**Liabilities**	**Net**
Direct investment	A_{DI}	L_{DI}	$A_{DI} - L_{DI}$
Portfolio investment	A_{PI}	L_{PI}	$A_{PI} - L_{PI}$
Financial derivatives	A_{FD}	L_{FD}	$A_{FD} - L_{FD}$
Other investment	A_{OI}	L_{OI}	$A_{OI} - L_{OI}$
Reserve assets	A_{RA}	–	A_{RA}
Net international investment position	A	L	$A - L$

Takeaway: The IIP uses the same categories as the financial account. Transactions change its stocks, but prices, exchange rates and other volume changes can also move them.

Functional Categories: Risk and Return

Category	Typical claim	Financial-stability consideration
Direct investment equity	Lasting ownership, $\geq 10\%$ voting power	Foreign equity investors absorb losses; some FDI also contains debt
Portfolio equity	Tradable shares	Losses are shared through prices; rapid portfolio reallocation possible
Portfolio debt	Bonds and notes	Refinancing and foreign-currency mismatch risk
Other investment	Bank loans, deposits, trade credit	Short-term wholesale funding can run quickly
Financial derivatives	FX and interest-rate contracts	Hedging reduces risks, but leverage and margin calls can amplify stress
Reserve assets	Liquid foreign assets of the central bank	A foreign-currency liquidity buffer, subject to liquidity and market risk

Takeaway: The same NIIP can represent very different risks: look at instruments, currency, maturity and *gross* positions, not only the net total.

Source: IMF, BPM6, Chapter 6; ČNB international investment position statistics.

From Flows to Stocks: Linking the BoP and the IIP

Flow (BoP):

$$CA_t + KA_t + NEO_t = FA_t$$

Stock (IIP):

$$NIIP_t - NIIP_{t-1} = FA_t + VA_t + OC_t$$

- VA: valuation changes – **prices** (shares, bonds) and **exchange rates**
- OC: other volume changes – write-offs, reclassifications

Only without revaluation

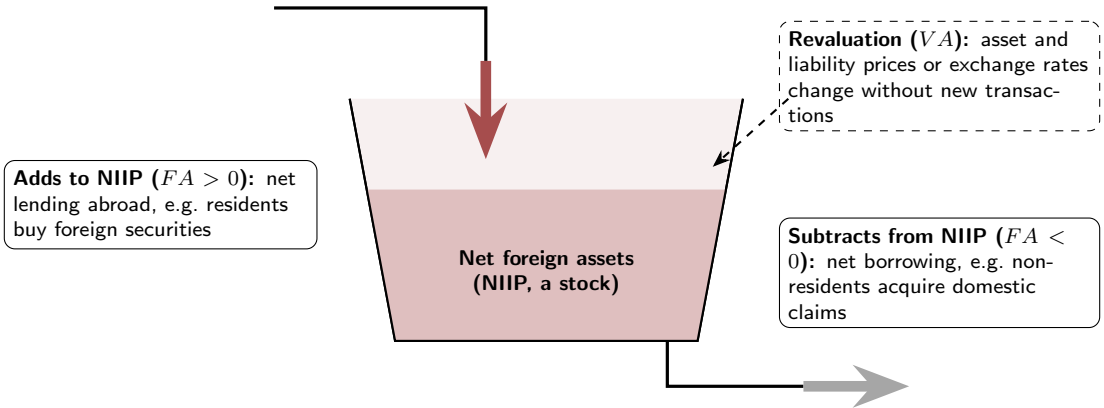
$$NIIP_t - NIIP_{t-1} = CA_t + KA_t + NEO_t$$

Real data never look like this. The Czech NIIP improved from -14.5% to -7.4% of GDP in 2024 with CA + KA of only about 3.3%: most of the gain was revaluation – a weaker koruna raised the value of foreign assets.

Takeaway: The IIP changes through transactions *and* through revaluation; for countries with large gross positions, revaluation can dominate.

Source: IMF, BPM6; ČNB, Zpráva o vývoji platební bilance 2024 and 2025.

Flows and the Stock: The Bathtub



Takeaway: The FA changes the net external position through transactions; valuation changes may add or subtract even when no transaction occurs.

A Worked Reconciliation: How the Position Changes in One Year

	End-1994	Transactions	Prices	Exch. rates	Other	End-1995
Assets	5,910	−879	+279	+1,071	+59	6,440
Direct investment	1,100	+106	+94	+203	+35	1,538
Portfolio investment	850	+328	+78	+162	−35	1,383
Other investment	2,320	−1,345	–	+384	−13	1,346
Reserve assets	1,640	+32	+107	+322	+72	2,173
Liabilities	5,801	+737	−33	+350	+9	6,864
Direct investment	3,104	−158	−45	+95	−16	2,980
Portfolio investment	252	+29	+12	+13	+18	324
Other investment	2,445	+866	–	+242	+7	3,560
NIIP	**109**	**−1,616**	**+312**	**+721**	**+50**	**−424**

Transactions: $+$ = increase in the asset or liability, as in the BPM6 financial account. NIIP column = assets minus liabilities, so transactions $= FA = -1{,}616$: net borrowing from abroad.

Takeaway: Transactions cut the NIIP by 1,616, but price and exchange-rate gains of 1,033 offset almost two-thirds of it – the position fell by only 533.

Source: IMF (1996), Balance of Payments Textbook, Table 13.1 (hypothetical country "Essendonia").

Gross Positions and Valuation Effects

- Gross assets and liabilities grow regardless of net flows, so valuation acts on a large base:

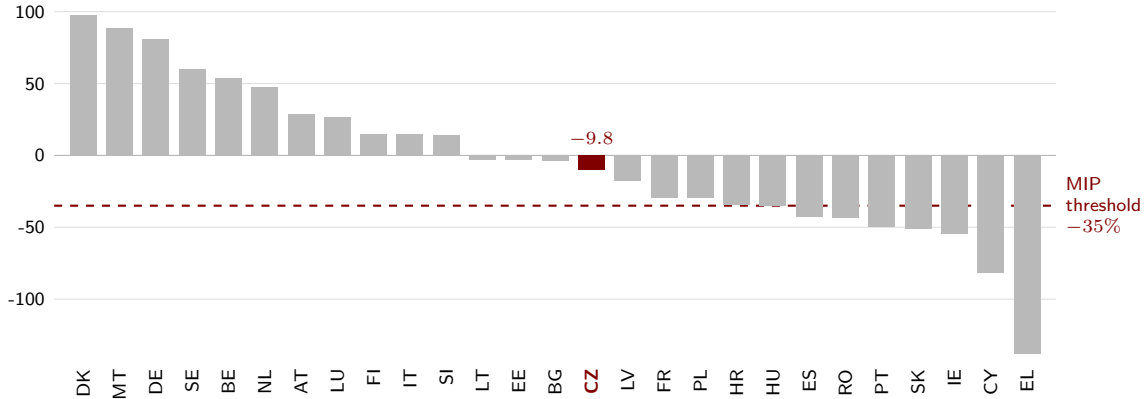
$$VA_t \approx \pi_t^A A_{t-1} - \pi_t^L L_{t-1}$$

  with π^A, π^L the percentage change in the domestic-currency value of assets and liabilities (prices and exchange rates)
- **Illustration (US):** if two-thirds of US foreign assets ($47 trillion, mid-2026) are in foreign currencies, a 10% dollar depreciation raises their dollar value by about $3 trillion – about 10% of GDP and nearly three years of current account deficits
- **When valuation matters** (Atkeson, Heathcote and Perri 2025):
  1. gross positions are large relative to GDP
  2. the values of assets and liabilities do not move together (different currencies, different asset classes)

Takeaway: A small percentage revaluation of a large gross position can exceed a year of current account flows.

Source: U.S. Bureau of Economic Analysis, IIP Q2 2026; illustrative currency share.

Net International Investment Positions in the EU, 2025

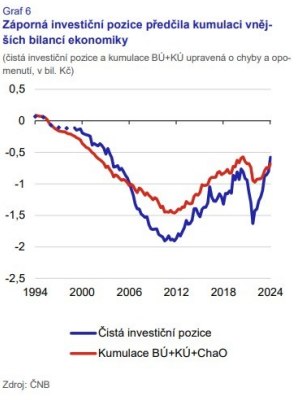


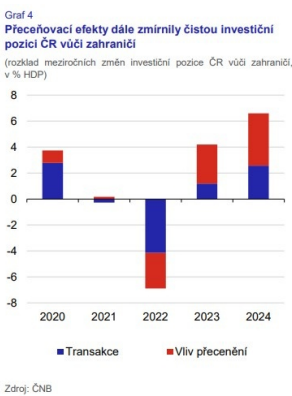
Net international investment position, % of GDP, end-2025

Takeaway: Eight member states are below the -35% threshold, Greece furthest (-138%); Denmark, Malta and Germany are the largest creditors. Czechia is a small net debtor.

Source: Eurostat, MIP scoreboard indicator tipsii10 (data updated October 2026).

The Czech NIIP: Transactions and Revaluation





- Left (CZK trillion): the NIIP (blue) against cumulated CA + KA + NEO (red). For two decades the NIIP was *below* the cumulated flows: revaluation worked against the country
- Right (% of GDP): annual change split into transactions (blue) and revaluation (red) – revaluation dominated in 2022–24
- 2025: NIIP $-7.4\% \to -9.8\%$ despite a surplus – the koruna appreciated, lowering the koruna value of the ČNB's reserves

Legend: Čistá investiční pozice = NIIP; Kumulace BÚ+KÚ+ChaO = cumulated current account + capital account + errors and omissions; Transakce = transactions; Vliv přecenění = revaluation.

Source: ČNB, Zpráva o vývoji platební bilance 2024, Grafs 6 and 4; 2025 report.

The NIIP Excluding FDI: A Net Creditor



- Excluding FDI, the Czech Republic is a net creditor of about CZK 2.9 trillion – roughly a third of GDP (2024)
- The ČNB (blue) carries the creditor position; banks (red) and government (orange) are debtors
- **Currency structure:** foreign assets are in euros and dollars; liabilities are mostly in koruna
- So a weaker koruna *improves* the NIIP – the opposite of an emerging market with original sin

Legend: ČNB; Banky = banks; Vládní inst. = government; Podniky a domácnosti = corporations and households. Dark shade = debt instruments, light = other. CZK trillion.

Source: ČNB, Zpráva o vývoji platební bilance 2024, Graf 26.

Exercise: Record These Transactions in the BoP and the IIP (1/2)

All amounts in USD million; the economy is hypothetical.

1. A domestic company exports cars to Russia for 90, paid immediately.
2. A domestic company imports clothes from China for 100, paid immediately.
3. A domestic company imports computers from the US for 22, due in 30 days.
4. A domestic company exports coal for 36, paid immediately; it exchanges the dollars for domestic currency at a domestic bank.
5. A domestic company exports products for 5 and converts the dollars at a domestic bank; the bank sells the dollars to the central bank.
6. Foreign tourists pay 2 for accommodation in a domestic hotel.

Settlement assumptions: foreign-currency receipts/payments change domestic banks' external deposits unless specified; all domestic conversions are between residents. No valuation changes.

Exercise: Record These Transactions in the BoP and the IIP (2/2)

7. The government gives 0.5 of monetary aid abroad, settled using central-bank foreign reserves.
8. The government receives 2.5 of *capital* grants from the EU for infrastructure, converted into central-bank reserves.
9. A domestic company wholly owned by foreigners earns profits of 15; it pays dividends of 11 and reinvests the remaining 4.
10. A foreign company purchases the government's 57% stake in a domestic brewery for 21; the government converts the proceeds into central-bank reserves.
11. A resident buys a 20% stake in a domestic company from its foreign owners for 16, financed partly by a foreign loan of 12, credited to the resident's foreign deposit.
12. The government sells bonds to foreign investors for 2, converting the proceeds into foreign reserves.
13. The central bank sells 26 of dollar reserves to non-residents in exchange for their koruna deposits at domestic banks.

For each: which accounts, which side, which sign – and how does the NIIP change?

Solutions 1–6: Trade and Its Payment

	BoP entries	**Interpretation and IIP effect**
1	Goods credit 90; other investment assets $+90$	The exporter's bank receives dollars: IIP assets ↑
2	Goods debit 100; other investment assets -100	The importer's bank pays out dollars: IIP assets ↓
3	Goods debit 22; other investment liabilities $+22$	Trade credit: the US supplier holds a claim on us – IIP liabilities ↑
4	Goods credit 36; other investment assets $+36$	The exchange at a domestic bank is between residents: no further entry
5	(a) Goods credit 5; other investment assets $+5$ (b) Other investment assets -5; reserve assets $+5$	(b) is a pure financial account swap: the dollars move from the commercial bank to the central bank
6	Services (travel) credit 2; other investment assets $+2$	Tourism by non-residents is an export of services

Solutions 7–10: Transfers, Income and Direct Investment

	BoP entries	Interpretation and IIP effect
7	Secondary income debit 0.5; reserve assets -0.5	Aid paid from the central bank's external assets
8	Capital account credit 2.5; reserve assets $+2.5$	This *specified investment grant* is a capital transfer; converted into reserves
9	Dividends: primary income debit 11; other investment assets -11 Reinvested earnings: primary income debit 4; direct investment liabilities $+4$	CA debit of 15 overall, while the foreign equity claim grows by reinvested earnings of 4. Cash dividends reduce foreign assets by 11
10	Direct investment liabilities $+21$; reserve assets $+21$	The non-resident acquires a 57% stake; government converts foreign proceeds into reserves

Takeaway: Reinvested earnings are imputed both as income paid abroad and as additional foreign direct investment. A dividend is income paid, not a reduction in the firm's share capital.

Solutions 11–13: Pure Financial Transactions

	BoP entries	Interpretation and IIP effect
11	(a) Other investment liabilities $+12$; other investment assets $+12$ (b) Direct investment liabilities -16; other investment assets -16	(a) The foreign loan is credited to the investor's account. (b) The foreign owner's 20% stake (direct investment) passes to a resident, paid from the account
12	Portfolio investment liabilities $+2$; reserve assets $+2$	Foreign holdings of government bonds are portfolio liabilities
13	Other investment liabilities -26; reserve assets -26	Non-residents exchange their domestic bank deposits (external liabilities) for the central bank's dollars

Takeaway: None of 11–13 touches the current account: they change only the composition of the financial account – the second type of transaction.

The Overall Result: BoP Ledger

	Current and capital account					Financial account				
No.	Goods	Serv.	Prim.	Sec.	KA	DI (L)	PI (L)	OI (A)	OI (L)	RA
1	+90							+90		
2	−100							−100		
3	−22								+22	
4	+36							+36		
5	+5							+5 − 5		+5
6		+2						+2		
7				−0.5						−0.5
8					+2.5					+2.5
9			−15			+4		−11		
10						+21				+21
11						−16		+12 − 16	+12	
12							+2			+2
13									−26	−26
Net	**+9**	**+2**	**−15**	**−0.5**	**+2.5**	**+9**	**+2**	**+13**	**+8**	**+4**

Current and capital account: credit +, debit −. Financial account: changes in assets (A) or liabilities (L), increase +. DI direct investment, PI portfolio investment, OI other investment, RA reserve assets.

The Overall Result: Balances and the IIP

Balance of payments

Goods	$+9$
Services	$+2$
Net exports	$+11$
Primary income	-15
Secondary income	-0.5
Current account	$\mathbf{-4.5}$
Capital account	$\mathbf{+2.5}$
CA + KA	$\mathbf{-2}$

Financial account = change in the IIP

Direct investment $(0-9)$	-9
Portfolio investment $(0-2)$	-2
Financial derivatives	0
Other investment $(13-8)$	$+5$
Reserve assets	$+4$
Financial account	$\mathbf{-2}$
Net errors and omissions	0

Takeaway: $CA + KA + NEO = -4.5 + 2.5 + 0 = -2 = FA$. The country is a net borrower of 2, and – with no valuation changes – its NIIP falls by exactly 2.

Conclusions

- The **balance of payments** records every transaction between residents and non-residents twice; it always balances: $CA + KA + NEO = FA$
- The current account measures **net saving relative to investment**: $CA = S - I = (S_P - I_P) + (S_G - I_G)$. With a negligible capital account, a deficit corresponds to net borrowing abroad.
- The **international investment position** is the stock behind the flows; it changes through the financial account *and* through revaluation
- Policymakers watch both: the EU flags current accounts outside -4% to $+6\%$ of GDP and NIIPs below -35%
- **Current issue:** tariffs may redirect bilateral trade; the aggregate CA also depends on saving and investment responses.

Next lecture: international flows of goods, services and factors of production – *why* each item of the balance of payments exists and which theory explains it.

Sources and Further Reading

- IMF (2009). *Balance of Payments and International Investment Position Manual*, 6th ed. (BPM6); IMF (2025), *Integrated BPM7* and implementation guidance.
- IMF (1996). *Balance of Payments Textbook*. Washington, DC.
- IMF. *External Sector Report* 2022, 2025 and 2026; IMF blog, "Global current account balances widen, reversing narrowing trend", 22 July 2025.
- European Commission. Macroeconomic Imbalance Procedure scoreboard; Eurostat, indicators tipsii10 and tet00003.
- Česká národní banka. *Zpráva o vývoji platební bilance* 2024 (June 2025) and 2025 (June 2026); investment position commentary (end-Q1 2024).
- U.S. Bureau of Economic Analysis. U.S. international transactions and investment position, 4th quarter and year 2025; 2nd quarter 2026.
- Atkeson, A., Heathcote, J., & Perri, F. (2025). The end of privilege: A reexamination of the net foreign asset position of the United States. *American Economic Review*, 115(7), 2151–2206.
- Krugman, P., Obstfeld, M., & Melitz, M. *International Economics: Theory and Policy*, chapter on national income accounting and the balance of payments.
- Šíma, O. Balance of payments and international investment position, lecture notes for 1MT495, Prague University of Economics and Business.